Ipek Ozil [AC] (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC
Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC
Mike Alexeev (1-212) 270-3322
michael.x.alexeev@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy

15 October 2026

Initiate 10s/30s swap spread curve flatteners

- Swap spreads have widened to near the peak levels they reached earlier in the year, and the swap spread curve has steepened; part of the reason for these moves may be that market participants expect that Treasury will reduce auction sizes in the long end or discontinue issuance of 20-year bonds...
- … which has pushed term funding premium lower. On the other hand, our fair value model would have pointed to an increase in term funding premium due to the increase in implieds over the period. As such, term funding premium now sits below our estimate of fair value
- Tomorrow brings the primary dealer questionnaire, which our UST strategists discussed in detail in their note. In summary, Treasury is set to face a funding gap, and such a move would likely only have a temporary impact on long-end yields, so we don't think it would be prudent to cut long-end issuance or discontinue 20-year issuance; we thus don't expect that tomorrow's primary dealer questionnaire for the November refunding will float this idea...
- ...therefore, as we approach the quarterly refunding, we recommend positioning for a correction in term funding premium by initiating 10s30s swap spread curve flatteners

Since our last publication, swap spreads have continued to widen and the swap spread curve has continued to steepen. Front-end spreads are wider by about 1-2bp, while long-end swap spreads are wider by about 5bp. As such, term funding premium has declined by 0.2 bp/year, and zero-duration spread has increased by about 1bp (for definitions, see *The one with swap spreads*, 1/8/2026). With the widening this week, long-end swap spreads are wider than the start-of-the year levels and are near (or at) the peak levels they reached earlier in the year (**Figure 1**).

Figure 1: The swap spread curve has steepened since our last publication, driven by the back end

Select statistics on benchmark maturity-matched SOFR swap spreads (bp) and term funding premium* (bp/year), and zero-duration spreads* (bp)

	10/2 - 10/15			YTD statistics			
	Start	Chg	End	1/2/26	Min	Max	Median
2y	-15.3	1.4	-13.9	-16.5	-19.2	-12.0	-15.3
3y	-22.7	2.2	-20.5	-20.9	-26.0	-18.9	-21.0
5y	-29.4	1.9	-27.5	-26.9	-34.9	-25.0	-28.3
7y	-36.7	2.6	-34.1	-33.8	-44.2	-31.1	-36.2
10y	-41.2	2.6	-38.5	-38.5	-49.1	-35.0	-41.6
20y	-64.8	4.5	-60.3	-63.2	-81.9	-57.3	-69.0
30y	-67.7	5.3	-62.3	-68.4	-83.7	-62.3	-72.7
TFP	4.2	-0.2	3.9	3.9	3.5	5.2	4.4
ZDS	-10.4	0.8	-9.6	-9.5	-12.8	-6.4	-8.7

* Term funding premium (TFP) is defined as the negative of the slope of a regression of maturity-matched swap spreads versus modified duration in benchmark sectors (2Y, 3Y, 5Y, 7Y, 10Y, 20Y, and 30Y) on any given day. Zero-duration spread (ZDS) is defined as the intercept of this regression
Source: J.P. Morgan

Figure 2: The decline in the term funding premium over the past two months is not expected by our fair value model. We would have expected it to increase due to the increase in implieds over the period

Statistics from regressing* term funding premium (bp/year)** versus its drivers*** (units as indicated), 8/17/26 and current (10/15/26), projected fair value† of TFP (bp/year), actual fair value of TFP, and fair value residuals

	Model info	Value of drivers		
Factor	Coeff	8/17	Cur.	Impact
Excess deposits ($tn)	-0.6	5.5	5.6	0.0
1Yx10Y implied vol (bp/day)	0.3	5.1	6.3	0.3
Treasury WAM (months)	0.1	70	70	0.0
Net outstanding debt ex SOMA/Fed assets	0.5	3.9	4.0	0.0
Intercept	-0.6			
Term funding premium - fair value		4.1	4.3	
Term funding premium - actual		4.7	3.9	
Residual		0.6	-0.4	

* Regression period from Jun 2020 - Jun 2026
** Term funding premium (TFP) is defined in Figure 1
*** Excess deposits equals Fed commercial bank deposits minus loans and liabilities
† We compute projected fair value using our projected drivers
Source: J.P. Morgan

Most of the move in swap spreads has been a term funding premium (or swap spread curve) story, as term funding premium has declined by over 0.7 bp/year since mid-August, when Treasury Secretary Bessent announced increases to the size of buyback operations at the

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Ipek Ozil [AC] (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC
Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC
Mike Alexeev (1-212) 270-3322
michael.x.alexeev@jpmorgan.com
J.P. Morgan Securities LLC

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long end. The move in term funding premium is at odds with what would have been expected given the increase in volatility of over 1.5bp/day over the same period. Indeed, if we turn to our empirical fair value model, we can see that our fair value model would have expected TFP to increase, and therefore the swap spread curve to flatten, based on the changes in the underlying drivers (**Figure 2**).

What then explains the decline in TFP over the period? Some of it could be mean-reversion, as TFP was above our estimate of fair value in August, and some of it could be technical flow-driven. However, we think there is also another factor at play: **there is likely an expectation by some market participants that Treasury may use this upcoming announcement to either cut issuance sizes in the long end and/or discontinue issuance of the 20-year bond.** Our model indicates that a decline in the expectation for Treasury WAM of 1 month would result in TFP declining by ~0.1 bp/year. Therefore, we think it is likely that some of the decline in TFP over the past ~2 months is due to this expectation.

Tomorrow brings the release of the primary dealer questionnaire for the November refunding, which is viewed as the first leg of the quarterly refunding process. Our UST strategists discussed this in detail in their note yesterday (*US Treasury Market Daily*, J. Barry, 10/14/2026). In summary, **they do not think it would be prudent for Treasury to reduce (or discontinue) issuance of 20-year bonds, as Treasury will face a significant funding gap in the coming years**. They also note that long-end yields appear in line with fundamentals. Finally, they note that although cutting or discontinuing the issuance of 20-year bonds would likely lower long-term yields temporarily, they don't think it would have a lasting impact. For the above reasons, **they don't see a prudent reason for Treasury to raise the topic of cutting or discontinuing long-end issuance in the questionnaire.**

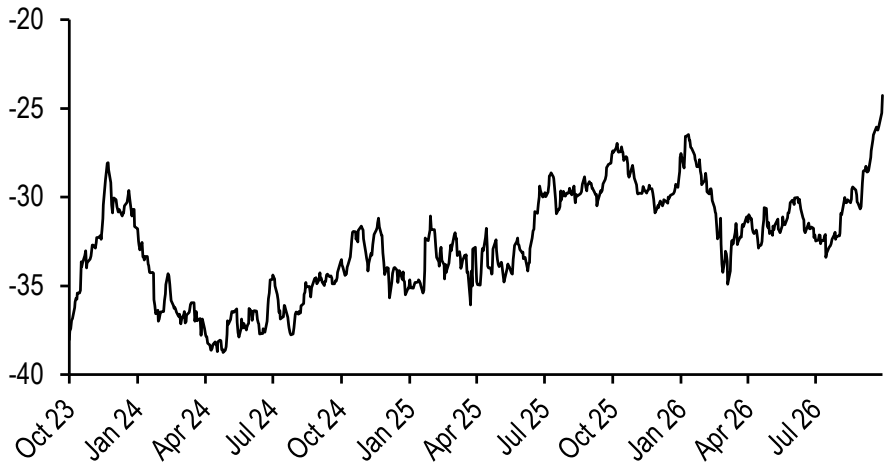
Therefore, as we approach the quarterly refunding period, we recommend positioning for a correction in TFP by initiating swap spread curve flatteners. For example, the 10s30s swap spread curve has steepened by almost 10bp over the last two months and is now at its steepest levels over the past three years (**Figure 3**). Therefore, **we recommend initiating 10s30s spread curve flatteners to position for a correction in TFP** (see Trade recommendations).

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Ipek Ozil [AC] (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
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J.P. Morgan Securities LLC
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Mike Alexeev (1-212) 270-3322
michael.x.alexeev@jpmorgan.com
J.P. Morgan Securities LLC

Figure 3: 10s30s spread curve is the steepest it has been in three years

Benchmark maturity-matched SOFR swap spread curve 30Y minus 10Y (bp) since 10/15/2023



Source: J.P. Morgan

Trade recommendations

- **Initiate 10s/30s maturity-matched swap spread curve flatteners**
  The 10s/30s swap spread curve is at multi-year highs, likely inflated by expectations of Treasury to cut issuance sizes at the long end. With TFP looking low to fair value, we recommend positioning for a correction by initiating a 10s/30s swap spread curve flattener.
  - Pay fixed in 4.625% Aug 15 2036 maturity-matched SOFR swap spreads. Buy $100mn notional of the 4.625% Aug 15 2036 (yield: 5.086%, PVBP: $749.9/bp per mn notional), and pay fixed in $95.8 mn notional of a maturity-matched SOFR swap (coupon: 4.701%, PVBP: $782.7/bp per mn notional) at a swap spread of -38.5bp.
  - Receive fixed in 5.125% Aug 15 2056 maturity-matched SOFR swap spreads. Buy $52.8mn notional of the 5.125% Aug 15 2056 (yield: 5.427%, PVBP: $1420.7/bp per mn notional), and receive fixed in $47.7mn notional of a maturity-matched SOFR swap (coupon: 4.801%, PVBP: $1573.6/bp per mn notional) at a swap spread of -62.6bp.
- For a full list of open and recently closed trades, see US Fixed Income Markets Weekly, 2026-10-02.

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Ipek Ozil [AC] (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC
Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC
Mike Alexeev (1-212) 270-3322
michael.x.alexeev@jpmorgan.com
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Ipek Ozil [AC] (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC

Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC

Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC

Mike Alexeev (1-212) 270-3322
michael.x.alexeev@jpmorgan.com
J.P. Morgan Securities LLC

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Ipek Ozil [AC] (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC

Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC

Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC

Mike Alexeev (1-212) 270-3322
michael.x.alexeev@jpmorgan.com
J.P. Morgan Securities LLC

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